

Flexicap Funds: The 'Dhurandhar' Way to Ride Market Ups and Downs

Retail investors often feel pulled in two directions at once. One part of the market looks expensive yet steady. Another looks more opportunity-rich, but also more volatile. This is where flexi-cap investing looks relevant. It is built for investors who want equity participation, but do not want outcomes to hinge on staying loyal to one market-cap segment through every phase.



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Setting right expectations

A flexi-cap equity fund can invest across large, mid and small caps without a fixed allocation split. That freedom is not a cosmetic feature. It is the engine. It allows the portfolio to respond to changing conditions by adjusting where it takes risk, while staying anchored in equities and diversification.

For investors, the flexi-cap appeal is convenience with discipline. It is one diversified equity holding, managed across market caps, instead of frequent switching between multiple funds.

As per industry body AMFI November

2025 data, flexi-cap mutual funds are the largest equity scheme category with over Rs 5.45 lakh crore investor assets spread across 2.16 crore folios and over 40 offerings. This category alone has 15 per cent of industry's equity fund assets, indicating its popularity.

Popularity, however, is not the same as predictability, and that makes expectation setting the real starting point.

The right expectation helps. A flexi cap is not meant to behave like a small-cap fund in every bull run. It is also not meant to look like a pure large-cap fund in every correction. True to its label, it can dial exposure up or down based on where value and visibility exist, while keeping a core set of quality businesses. The point is not perfect forecasting. The point is disciplined allocation as evidence changes.

Flexi-cap funds, on an average, have delivered about 15.4 per cent CAGR and 16.5 per cent CAGR over the last three- and five-year periods respectively as on December 12, 2025, according to Value Research.

What to look for

How can a retail investor assess a flexi-cap approach without getting anchored to short-term returns? A good starting point is the portfolio record.

First, track the market-cap mix over time. Flexi-cap funds can stay focused on large companies for long periods, and this can be a conscious decision to manage risk. What matters most is consistency: the way the portfolio behaves should

broadly match the strategy it claims to follow. Looking at allocations over time helps you see how actively the fund is using its flexibility.

Second, review portfolio concentration. Flexibility works best when it is backed by sensible diversification. If too much money is placed in just a few stocks, the fund can swing sharply during volatile markets. That's why many investors prefer portfolios that limit concentration and follow clear rules in how they are built.

Third, observe downside behaviour across phases. In periods dominated by negative triggers, large caps can add stability, while mid and small caps may see sharper swings. Investors can look for measured risk management, where exposure is adjusted with valuations and the environment, while the core portfolio quality remains intact.

Fourth, watch for decision consistency. Flexibility is valuable when guided by a repeatable framework. If allocations and style shift sharply without a visible logic, it becomes harder for investors to know what they own.

Finally, place flexi caps appropriately in the portfolio. For many retail investors, they can work well as a core equity holding alongside a disciplined SIP and a horizon that can absorb equity drawdowns.

The objective is not to eliminate volatility, but to participate in equity compounding without repeatedly switching between large, mid and small-cap funds as leadership rotates.